IOWN

The Morning Brief

APRIL 7, 2026

Deadline Day

The four-day rally meets tonight's 8 PM Hormuz ultimatum and this morning's UN Security Council vote.

S&P 500 (MON)	BRENT CRUDE	TRUMP DEADLINE	GOLD	FEAR & GREED
6,611 ↑0.44%	~$110 · Flat	Tonight 8 PM ET	~$4,685 ↓0.4%	11 · Extreme Fear

SECTION 01

Markets

THE FOUR-DAY RALLY FACES ITS BINARY

The S&P 500 closed Monday at 6,611, its fourth consecutive gain, as ceasefire optimism and the prior Friday's NFP beat continued to support risk appetite. Tuesday premarket reverses: S&P futures are down approximately 0.5%, Nasdaq futures off 0.6%, and Dow futures lower by roughly 155 points. The pullback is deadline-driven. Trump reiterated late Monday that every bridge and power plant in Iran could face destruction within hours if a deal is not reached by 8 PM ET tonight, according to CBS News. Iran's Revolutionary Guards dismissed the threats as baseless, according to Al Jazeera. The four-day run lifted the S&P back above 6,600 for the first time since the ceasefire-driven surge last Tuesday — which means tonight's outcome carries asymmetric positioning risk. If the deadline produces escalation, Monday's gains could unwind rapidly. If it passes without action — as the prior two deadlines did — markets may interpret the pattern as negotiating posture. For IOWN, the portfolio's construction was designed for exactly this kind of compressed binary window: dividend cash flows that persist through either outcome, energy exposure that benefits from sustained disruption, and defense holdings that tend to hold value during escalation.

OPEC+ OUTPUT INCREASE IS SYMBOLIC, NOT STRUCTURAL

OPEC+ agreed Sunday to a 206,000 barrel-per-day production increase for May, led by Saudi Arabia and Russia providing over 60% of the increment, according to Al Jazeera. The number is largely academic: it represents less than 2% of the supply disrupted by the Hormuz closure, and most of that incremental production would need to transit the very waterway that remains blocked. Brent is holding near $110 and WTI near $113. Until the Strait reopens — whether through the Iran-Oman monitoring protocol discussed in last week's brief, the UN resolution being voted on this morning, or a broader ceasefire — the physical supply constraint persists. IOWN's energy sleeve (CVX, VLO, OKE, CNX) continues to benefit from the structural premium.

The next OPEC+ review is scheduled for May 3.

FOUR SESSIONS UP, SENTIMENT STILL DETERIORATING

Monday's advance was broad-based but defensive in character. Staples (+0.94%) and consumer discretionary (+0.82%) led, followed by energy (+0.73%) and financials (+0.71%). Healthcare (–0.36%), utilities (–0.37%), and materials (–0.38%) lagged. The Fear & Greed Index fell to 11, a new conflict low, despite four consecutive sessions of equity gains — an unusual divergence that suggests the options market, breadth indicators, and safe-haven demand are pricing a different outcome than the headline index. The 10-year yield held near 4.33%, consistent with zero rate cuts priced for 2026. Gold declined 0.4% Monday to approximately $4,685, drifting lower on dollar strength ahead of the deadline. Bitcoin traded near $69,000, with IBIT gaining 4.08% and ETHA up 3.65% on the session. Defense held firm: LMT rose 2.43%, GD gained 0.66%, and the $1.5 trillion defense budget request continued to underpin the sector. ADI (+2.83%) was the standout in the dividend sleeve as Citi reiterated a bullish view ahead of Q1 earnings.

S&P 500	**6,611 Mon · Futures ↓0.5% Tue AM**
BRENT / WTI	**~$110 / ~$113 · OPEC+ 206kbd for May**
GOLD	**~$4,685 · ↓0.4% Mon · Dollar strength**
10Y YIELD	**4.33% · Zero 2026 rate cuts priced**
FEAR & GREED	**11 · Extreme Fear · New conflict low**

Tonight's deadline is one event. The portfolio's thesis — that physical assets, energy infrastructure, and cash-generative businesses hold value through geopolitical compression — is not a one-night trade. It is a structural position. Think Like an Owner.

Geopolitics

THE THIRD DEADLINE — TONIGHT AT 8 PM ET

Trump told reporters Monday that Iran could be taken out in one night and that every bridge could face destruction by midnight if a deal is not reached by 8 PM ET Tuesday, according to CBS News and NPR. This is the third Hormuz deadline of the conflict. The first, on March 23, was postponed five days. The second, last Tuesday, passed with continued strikes but not the threatened infrastructure campaign against power plants and bridges. Iran's IRGC has responded with defiance, calling Trump's threats baseless. The pattern raises two scenarios for tonight: either the threatened escalation materializes — targeting civilian infrastructure in a manner that would represent the conflict's most significant escalation — or the deadline extends again, reinforcing the market's emerging interpretation that these ultimatums function as negotiating pressure rather than operational timelines. Neither outcome is priced with certainty, and that ambiguity is the primary driver of Tuesday's premarket weakness.

UN SECURITY COUNCIL VOTES THIS MORNING ON WATERED-DOWN HORMUZ RESOLUTION

The UN Security Council is scheduled to vote at 11 AM ET today on a revised Hormuz resolution, according to Al-Monitor and Pakistan Today. The original Bahrain-drafted text authorized defensive force to protect shipping; the current version, diluted after China's opposition, merely encourages states to coordinate defensive escort operations for commercial vessels. The resolution requires nine affirmative votes and no veto from any permanent member. If it passes, it provides a legal framework for multinational naval escorts that could complement the Iran-Oman monitoring protocol — a gradual reopening pathway that does not depend on a ceasefire. If China or Russia vetoes, the US may pursue unilateral escort operations that would introduce additional escalation risk within the Strait itself. The vote arrives nine hours before Trump's deadline, creating a compressed diplomatic and military calendar that could produce multiple headline-driven reversals within a single session.

IRAN'S POSITION HARDENS — PERMANENT CESSATION OR NOTHING

Iran has formally rejected the 45-day ceasefire proposal and stated that the Strait of Hormuz will not return to its prior condition unless the war is permanently stopped, according to NPR and Bloomberg. Pakistan offered a modified two-phase plan — an immediate ceasefire with Hormuz reopening, followed by 15 to 20 days to finalize a broader settlement — but Iran has not accepted this framework, according to Al Jazeera. The structural impasse remains: the US demands Hormuz open immediately as a precondition, while Iran demands permanent war cessation as its precondition. This gap is why the ceasefire proposals have generated optimism without outcomes. The diplomatic track continues to produce headlines that move markets, but the underlying positions have not converged. Nearly six weeks into the conflict, the Strait remains closed and hundreds of freight ships, including oil tankers, remain stalled near the waterway.

TRUMP DEADLINE	**8 PM ET Tuesday · Power plants + bridges · Third deadline**
UN VOTE	**11 AM ET · Watered-down resolution · China may veto**
IRAN POSITION	**Permanent war end or Hormuz stays closed**
PAKISTAN PLAN	**2-phase proposal · Iran reviewing, not accepting**
CONFLICT	**Day 39 · Hundreds of ships stalled near Hormuz**

SECTION 03

On Our Radar

1. Tonight's 8 PM ET deadline is the session's defining event. The prior two deadlines extended without the threatened infrastructure campaign. If this one follows the same pattern, the four-day rally may resume and the ceasefire-hope trade re-engages. If strikes materialize against civilian infrastructure, the conflict enters a fundamentally different phase — one that could close diplomatic channels and send oil sharply higher. The portfolio holds through either scenario, but the overnight tape could be volatile. Avoid Erosion — discipline through the window, not around it.

2. The UN Security Council Hormuz vote at 11 AM ET could reshape the legal framework for Gulf shipping. A passed resolution — even in its diluted form — provides cover for multinational naval escorts that could begin to restore partial Strait transit. This would be incrementally positive for energy markets by introducing a reopening pathway that does not require a ceasefire. A veto leaves the Strait's status entirely dependent on the bilateral US-Iran negotiation track, which remains deadlocked. Research Reveals Opportunities.

3. OPEC+'s 206kbd May increase signals political willingness but not material supply relief. The increment cannot transit a closed Hormuz. Saudi Arabia and Russia are leading the increase, positioning themselves as responsive to the crisis, but the physical constraint persists until the waterway reopens. IOWN's energy sleeve remains positioned for sustained elevated pricing. Next review May 3. **The physical world matters.**

4. Warsh confirmation hearing April 16 is the next rate-relevant catalyst. Senate Banking Committee has 13 Republicans and 11 Democrats, and Sen. Tillis has signaled he may withhold his vote until a separate investigation concludes, according to the Seoul Economic Daily. A single Republican defection blocks the nomination at the committee level. The hearing's outcome may determine whether the Fed's reaction function shifts toward price stability over employment support for the remainder of 2026. Rate-sensitive holdings (NEE, BKH, ATO) are watching closely. Think Like an Owner.

5. Q1 earnings season approaches with the conflict as backdrop. GPC reports April 21, TE Connectivity April 22, Stryker later in the month. The first quarter spans the onset of the war — management commentary on supply chain disruption, energy cost pass-through, and demand resilience could be the next material catalyst for individual IOWN holdings. **Simplicity Over Complexity.**

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